

VIS vs. GRID

Industrial Cycle & Portfolio Implementation

A decision-grade comparison of broad U.S. Industrials exposure versus the global smart-grid/electrification theme, with direct-equity alternatives and portfolio-specific implementation.

**RECOMMENDATION: BUILD THE CORE WITH VIS;
RETAIN GRID AS A SATELLITE; HOLD GEV; KEEP CAT /
ETN / PWR ON A VALUATION-DISCIPLINED ADD LIST.**

SECTOR STANCE	PREFERRED ETF	THEMATIC ROLE	CONVICTION
OVERWEIGHT	VIS	GRID	8 / 10
Selective, capex-led industrial	Strategic industrial	0.5%-0.75% satellite	Cycle strong;
cycle	core		valuation is the constraint
Prepared August 16, 2026 Market and fund data through August 14, 2026 where available Portfolio baseline: retirement-portfolio-23.xlsx, the latest portfolio export accessible to this report-generation workspace. A later referenced retirement-portfolio-24.xlsx was not available to the runtime; if it changed holdings, weights should be refreshed before implementation.			

The right portfolio expression is broader than the hottest theme.

Industrials remain one of the more attractive multi-year areas of the U.S. equity market, but the investable opportunity is being driven by a concentrated set of capital-spending engines: electric power generation and transmission, data-center power and cooling, aerospace production and aftermarket services, infrastructure modernization, reshoring, and selected heavy equipment. This is not yet a synchronized old-style manufacturing boom. That distinction matters for ETF selection.

Senior analyst recommendation. Establish **VIS** at a **2.0%-2.5% strategic portfolio weight** over multiple tranches, with a 2.25% base target (~\$37,900 on the current portfolio value). Maintain **GRID** near its existing **~0.59%** as the higher-beta electrification satellite, and keep **GEV** around **2%** rather than adding aggressively after its major rerating. This would lift intentional dedicated industrial / grid exposure from roughly **2.60%** today to about **4.6%-5.1%** before any new direct-stock purchase.

The reason is portfolio-specific. The account already owns the AI capital spenders and beneficiaries - Amazon, Microsoft, Alphabet, Meta, Broadcom and TSM - alongside GEV and GRID. Increasing GRID materially would diversify sector labels while *increasing the same underlying AI/electrification factor*. VIS adds aerospace, machinery, rail, construction, transportation and industrial services, making it the better diversifier.

DECISION	ANALYST VIEW	PORTFOLIO ROLE
VIS	ADD / BUILD	Primary industrial-sector allocation; target 2.0%-2.5%.
GRID	HOLD	Electrification/grid satellite; current ~0.59% is appropriate. Do not make it the core.
GEV	HOLD / PAUSE ADDS	Best direct power-generation/electrification holding already at ~2.01%.
CAT	WATCH / ADD ON PULLBACK	Attractive machinery + data-center power leverage, but a large post-earnings rerating argues for patience.
ETN / PWR	WATCH	Excellent structural exposure; much of it is already captured by GRID, where ETN and PWR are major weights.

A capex-led industrial expansion, not a blanket cyclical boom.

The Federal Reserve's latest industrial data show real improvement but also slack: industrial production grew at a 4.0% annual rate in 2Q26 and manufacturing output grew at a 4.7% annual rate, while June manufacturing utilization was only 75.7%, 2.5 percentage points below its long-run average. Business-equipment production was 5.4% above a year earlier. The implication is constructive but selective: investment spending is improving faster than economy-wide capacity tightness.

Power / Grid	Aerospace	Machinery / Construction
Strongest structural leg. Utility load growth, data-center interconnections, aging grid infrastructure, new generation capacity and resilience spending create a long-duration backlog cycle.	High visibility. Large engine and defense backlogs plus recurring aftermarket revenue provide a different earnings engine than AI power infrastructure.	Positive but more cyclical. Non-residential construction, energy, mining and data-center power help; recession and dealer inventory remain the principal swing factors.

Evidence from the operating companies

COMPANY	CURRENT EVIDENCE	READ-THROUGH
GE Vernova	2Q orders \$24.2B, +88% organically; backlog \$176B; revenue +22%; data-center orders >\$5B YTD; 2026 revenue and FCF guidance raised.	Power generation and electrification remain in a genuine multi-year capacity cycle.
Caterpillar	2Q revenue \$20.54B, +24%; backlog \$72.1B; construction and power demand strengthened; full-year sales-growth outlook raised.	The industrial cycle is broadening into heavy equipment and distributed / backup power.
Eaton	2Q sales +21%; Electrical backlog +43% y/y; orders remained strong; 2026 organic-growth guidance raised.	Electrical distribution, power management and data centers remain among the highest-quality structural exposures.
Quanta Services	2Q revenue \$9.56B, +41%; backlog \$53.4B; 2026 expectations raised across major metrics.	Transmission, grid interconnection and mission-critical infrastructure spending are translating into revenue.
GE Aerospace	2Q adjusted revenue +24%; orders +17%; FCF +43%; backlog >\$210B; guidance raised.	Aerospace provides a powerful non-grid industrial cycle with recurring services economics.

VIS is the industrial core; GRID is the electrification accelerator.

FACTOR	VIS	GRID	PM INTERPRETATION
Mandate	MSCI U.S. Investable Market Industrials 25/50; large/mid/small U.S. industrials	Nasdaq Clean Edge Smart Grid Infrastructure Index; global grid/electric infrastructure	VIS is sector beta. GRID is a theme.
Expense ratio	0.09%	0.56%	VIS is far more efficient for a permanent allocation.
Holdings	397 (May 31)	119 (Aug. 14)	VIS is materially broader.
Top-10 concentration	~30%	59.7%	GRID carries materially more company-specific and theme risk.
Geography	U.S.	Global	GRID adds FX and non-U.S. policy/market risk, but also geographic diversification.
3-year volatility	Lower broad-sector profile	20.87% stdev; beta 1.21 vs MSCI World Industrials	GRID should be sized as a satellite.
2026 YTD at 6/30	21.34%	25.42% NAV	GRID led through midyear, but with a higher-risk structure. Performance is not the primary selection criterion.
Best use	CORE	SATELLITE	Own both only if their portfolio jobs are explicitly different.

What you actually own through each fund

VIS - broad industrial leadership

CAT		5.78%
GE Aerospace		4.80%
GE Vernova		3.70%
RTX		3.43%
Boeing		2.45%
Eaton		2.20%

Also meaningful exposure to rail, industrial machinery, engineering, building products and transportation.

GRID - concentrated electrification chain

Eaton		9.22%
Schneider		9.21%
Johnson Controls		8.58%
Quanta		7.88%
ABB		7.78%

Sector mix includes electrical components (33.5%), diversified industrials, engineering, controls, utilities, semiconductors and software. It is not a pure GICS Industrials fund.

Key distinction: GRID is a better instrument if the thesis is specifically “electric load growth + grid capex + data-center power.” VIS is better if the thesis is “U.S. industrial capex and earnings breadth over a full cycle.” For this portfolio, the second objective is the missing exposure.

04 | PORTFOLIO FIT

Your existing holdings make VIS more valuable than another large grid bet.

The latest accessible portfolio totals roughly \$1.68 million. GEV is already ~2.01% and GRID ~0.59%, so the explicit dedicated industrial/grid sleeve is ~2.60%. The true all-in industrial exposure is higher because VFFSX, TLXIX, IJH, FSMDX, FSSNX and other diversified funds contain industrial stocks; this report therefore treats 2.60% as the *intentional dedicated sleeve*, not total sector look-through.

Current dedicated sleeve

GEV		2.01%
GRID		0.59%
VIS		0.00%

Dedicated total: ~2.60%.

Recommended base sleeve

GEV		2.00%
VIS		2.25%
GRID		0.60%

Dedicated total: ~4.85%; CAT remains optional rather than required.

The hidden factor overlap

The portfolio has substantial exposure to the companies funding the AI/data-center buildout: AMZN (~8.13%), MSFT (~2.94%), GOOG (~2.95%), META (~2.21%), AVGO (~2.67%) and TSM (~0.4%), plus GEV and GRID on the supplier side. That creates an economic factor that crosses traditional sectors. A large increase in GRID would therefore amplify the same capex cycle that already supports a significant portion of portfolio earnings expectations.

Funding discipline matters. Direct financial holdings (JPM, GS, MA, V and AXP) are approximately 24.3% of the portfolio, while cash is about \$43,000 / 2.55%. Preserving a 2% cash floor leaves only about \$9,300 of readily deployable cash. Build VIS primarily with new contributions and/or tax-aware concentration trims rather than taking cash materially below the reserve floor.

VIS overlap is manageable

At a 2.25% VIS weight, its current holdings would add only about 0.13% portfolio exposure to CAT, 0.11% to GE Aerospace, 0.08% to GEV, 0.08% to RTX and 0.05% to ETN. That is diversified exposure, not a meaningful duplication problem. In contrast, expanding GRID concentrates more of the sleeve into ETN, Schneider, JCI, PWR and ABB.

Use direct stocks only where the portfolio wants more idiosyncratic alpha.

SECURITY	CYCLE EXPOSURE	QUALITY / VISIBILITY	VALUATION RISK	PORTFOLIO ACTION
GEV	Gas turbines, electrification, grid software/equipment, wind	Very high; \$176B backlog and rapid order growth	HIGH	HOLD. Existing ~2% is enough. Re-add only after a material valuation reset or another earnings step-up.
CAT	Construction, mining, energy, generators / data-center power	High, but more cyclically sensitive than GEV/ETN	HIGH	WATCH / ADD ON PULLBACK. Prefer 0.5%-0.75% only after a 10%-15% correction or a fresh estimate reset that restores upside.
ETN	Power distribution, electrical equipment, data centers, aerospace	Very high; strong orders/backlog	HIGH	WATCH. Excellent direct stock, but GRID already owns it at 9.2% and VIS at ~2.2%.
PWR	Transmission, interconnection, utility/load-center construction	High; record backlog and revenue	HIGH	WATCH / own via GRID. Direct position only if seeking concentrated grid-construction alpha.
GE	Commercial aerospace, defense, high-margin aftermarket	Exceptional backlog and recurring services	HIGH	WATCH. Recent internal research placed fair value only modestly above market; wait for margin of safety.
RTX	Aerospace/defense, engines, systems, missiles	High and diversified	MODERATE-HIGH	OWN THROUGH VIS unless a company-specific dislocation creates an entry.
DE	Agricultural and construction machinery	High franchise quality, weaker near-cycle visibility	MODERATE	WAIT FOR PROOF. Ag equipment remains less aligned with the strongest current capex channels.

If only one new position is allowed: choose VIS, not CAT, ETN or PWR. The portfolio already has a concentrated single-name power winner in GEV. The marginal dollar should broaden the industrial earnings engine, not further narrow it.

VIS wins the base case; GRID wins the upside case and loses more in a theme reset.

SCENARIO	PROBABILITY	INDUSTRIAL SETUP	EXPECTED RELATIVE WINNER	PORTFOLIO RESPONSE
Base - capex cycle broadens	55%	Grid/data-center demand remains strong; aerospace backlog converts; manufacturing improves unevenly.	VIS on diversification + participation	Build VIS to 2.0%-2.5%; hold GRID/GEV.
Bull - power scarcity persists	25%	Hyperscaler capex, turbine demand, transmission and electrical backlogs stay exceptionally strong into 2028+.	GRID / GEV	Let winners compound; cap combined thematic concentration rather than chase.
Bear - capex pause / recession	20%	Project delays, lower AI spend growth, weaker construction/mining, multiple compression.	VIS should be relatively more resilient; both decline	Use staged entries; keep cash reserve; re-underwrite GEV/GRID before adding.

Binding constraint: valuation, not thesis quality

GRID's July 31 portfolio P/E was 29.5x, and many leading direct beneficiaries have already had major 2026 reratings. VIS also trades at a premium valuation by historical sector standards. The cycle can remain fundamentally strong while returns disappoint if multiples compress faster than earnings rise. This argues for **tranching rather than waiting for a perfect macro signal or buying a full target immediately.**

Thesis-break conditions. Downgrade the industrial overweight if (1) GEV/ETN/ PWR backlogs stop growing and cancellations rise, (2) hyperscaler capex guidance rolls over for multiple quarters, (3) business-equipment production and order data turn down together, (4) aerospace orders/services growth decelerate materially without valuation relief, or (5) industrial earnings revisions fall while sector multiples remain elevated.

Build breadth first, keep thematic optionality, and preserve dry powder.

NOW	Initiate / begin building VIS toward 1.0%. Use new contributions, modest excess cash above a 2% floor, and/or tax-aware trims from concentrated financial holdings. Do not fund the entire position from cash.
2ND TRANCHE	Add 0.5%-0.75% VIS on either a 5%-8% sector pullback or continued earnings/backlog confirmation. The goal is to average into a structurally favorable but expensive sector.
3RD TRANCHE	Reach 2.0%-2.5% VIS over 6-12 months. Stop at the low end if GEV/ GRID appreciate enough to lift the combined dedicated sleeve above ~5% without new capital.
GRID	Maintain 0.5%-0.75%. Allow it to remain a high-conviction satellite; avoid taking it above ~1% unless GEV is reduced or the portfolio deliberately chooses a larger AI-power factor bet.
GEV	Hold around 1.75%-2.25%. No forced trim at ~2%; no aggressive add after the rerating. Revisit if fundamentals materially exceed the current growth path or valuation resets.
CAT	Keep on the active buy list, not the immediate ticket. A 0.5%-0.75% direct position becomes attractive on a 10%-15% pullback with intact backlog / power demand, or after enough estimate revisions to restore a clear margin of safety.

Target architecture

EXPOSURE	CURRENT	BASE TARGET	ROLE
GEV	2.01%	~2.00%	Direct structural winner
GRID	0.59%	0.50%-0.75%	Thematic satellite
VIS	0.00%	2.00%-2.50%	Industrial core
CAT	0.00%	0%-0.75% optional	Valuation-dependent alpha sleeve
Dedicated total	~2.60%	~4.5%-5.3%	Before broad-fund look-through

What would make us add, pause, or reduce?

SIGNAL	CONSTRUCTIVE THRESHOLD	WARNING THRESHOLD	ACTION
GEV orders / backlog	Power + Electrification growth remains well above revenue	Broad cancellations or weak bookings	Add on valuation reset / re-underwrite if weakening
ETN electrical orders	Double-digit growth and book-to-bill >1	Order growth falls below sales for multiple quarters	Supports or challenges GRID thesis
PWR backlog / RPO	New records with cash conversion	Project deferrals rise	Gauge grid construction cycle
CAT Power & Energy / Construction	Backlog and price/volume remain positive	Dealer inventories rise, orders weaken	Direct CAT entry only with intact thesis
Aerospace	GE/RTX orders, deliveries and services remain strong	Airline / defense demand or supply recovery stalls	Supports VIS diversification case
Macro	Business equipment / durable orders remain positive	Two-quarter deterioration in equipment output + orders	Slow VIS build; do not average down mechanically
AI capex	AMZN/MSFT/META/GOOG capex plans remain durable	Multi-quarter capex growth reset	Reduce GRID/GEV enthusiasm before broad VIS

Overweight industrials, but diversify the engine of return.

VIS is the superior next dollar for this portfolio. It captures the same structural cycle that supports GEV and GRID while broadening the return drivers into aerospace, machinery, transportation, engineering and industrial services. GRID remains an attractive specialist instrument, but its 0.56% expense ratio, ~60% top-10 concentration, higher volatility and direct dependence on electrification/data-center spending make it a poor substitute for a core industrial allocation.

The recommended architecture is therefore **VIS 2.0%-2.5% + GEV ~2.0% + GRID 0.5%-0.75%**, with CAT reserved for a valuation-driven direct-stock opportunity. That produces a deliberate industrial sleeve large enough to matter while respecting the portfolio's existing AI-capex factor exposure and its still-high financial-sector concentration.

Final rating: OVERWEIGHT INDUSTRIALS **Implementation:** ADD VIS / HOLD GRID / HOLD GEV / WATCH CAT-ETN-PWR. **Conviction:** 8/10. **Primary risk:** valuation compression before the backlog-to-earnings cycle fully monetizes.

Sources & freshness

1. **Federal Reserve G.17** - Industrial Production and Capacity Utilization, July 17, 2026.
2. **Vanguard VIS profile** - mandate, holdings, characteristics and performance.
3. **First Trust GRID profile** - holdings/sector data through Aug. 14; risk and performance through July 31, 2026.
4. **GE Vernova 2Q26 results** - July 22, 2026.
5. **Caterpillar 2Q26 / Reuters** - August 4, 2026.
6. **Eaton investor materials** - 2026 order/backlog context; Q2 cross-checked to July 31 reported results.
7. **Quanta Services 2Q26 results** - July 30, 2026.
8. **GE Aerospace 2Q26 results** - July 16, 2026.
9. **Portfolio source:** retirement-portfolio-23.xlsx, uploaded August 14, 2026; no missing transactions inferred.

Important: This report is analytical research for portfolio-management discussion, not individualized legal, tax or fiduciary advice. Target weights are portfolio-construction ranges, not trade instructions. Actual implementation should consider account location, tax lots, transaction costs, current prices and any changes contained in a newer portfolio export. Fund holdings and weights change over time; Vanguard's displayed VIS portfolio composition is less current than First Trust's August 14 GRID data and is identified accordingly.